GENERAL MOTORS COMPANY (NYSE: GM)

Automobiles | Price: $76 | Mkt Cap: ~$68.5B | Fwd P/E: 6.1x | FCF Yield: 14.9% | April 2026

OVERWEIGHT / BUY

Base $100 | Bull $121 | Bear $68

THE MISPRICING

GM trades at 6.1x forward earnings against its own 10-year average of 9 to 10x, on a business that generated $10.6 billion in free cash flow in 2025 while absorbing $7.6 billion in EV restructuring charges. At a 15% FCF yield versus 3 to 4% for the S&P; 500, the stock is priced as a cyclical at risk of collapse rather than what it actually is: a cash machine with a structurally lower cost base.

A STRUCTURALLY LOWER BREAKEVEN

GM's North American breakeven sits at approximately 10 to 11 million US industry units today, down from 16 to 17 million during the prior decade. The shift came through real, permanent changes: retiree healthcare obligations were moved off the balance sheet entirely, the plant footprint was reduced from 47 to roughly 30 facilities, the brand lineup was cut from 8 to 4, and Barra's 2018 restructuring removed $6.5 billion in annual fixed costs. A further $2 billion in salaried reductions came in 2023 and 2024. Q2 2020 was the live test: production fell over 60% year over year and GMNA stayed near breakeven. The US market runs at 16 million units today, roughly 60% above that floor.

THE PROFIT ENGINE

GMNA is 82% of adjusted EBIT. After exiting low-margin sedans in 2018 and 2019, the portfolio is almost entirely trucks and SUVs, where buyers choose on capability rather than monthly payment. GM holds roughly 40% of the full-size pickup market and runs approximately 16% EBIT margins on those vehicles. Incentive spend is 4.4% of ATP versus 6.7% for the industry, the lowest ratio in Detroit. Across 2.85 million US vehicles annually, that 2.3 point gap flows into roughly $3.4 billion of additional EBIT. Wholesale ATP grew 31% from 2020 to 2025 on genuine mix shift.

$28 BILLION IN BUYBACKS

Diluted shares fell from 1.47 billion in 2021 to 904 million at year-end 2025, a 37% reduction. Adjusted EBIT was lower in 2025 than in 2024, yet EPS hit a record $10.60 because the same earnings now cover far fewer shares. With $6 billion authorized for 2026 against $10 to $11 billion in guided FCF, GM retires roughly 9% of its float this year. Every accelerated share repurchase since 2023 was executed below today's price.

SOFTWARE REVENUE OUTSIDE THE CURRENT MULTIPLE

GM ended 2025 with 12 million OnStar subscribers, $5.4 billion in deferred revenue growing 40% year over year at 70% gross margins. Hardware is expensed at vehicle wholesale, so subscription revenue flows through at near full margin thereafter. There are 45 million GM vehicles on US roads but only 13 million current subscribers, meaning under 30% penetration with no additional distribution cost to close that gap. Super Cruise ended 2025 at 620,000 subscribers, up 80% year over year, targeting 850,000 by end of 2026. At 3x revenue on $7.5 billion in guided 2026 deferred revenue, there is roughly $22 billion in embedded value that the stock's current automotive multiple does not separately reflect. Standalone segment reporting will force a more precise accounting of these economics.

PEER VALUATION CONTEXT

Company	Curr P/E	Fwd P/E	EV/EBITDA	FCF Yield
GM ★	7.4x adj	6.1x	3.2x (a)	14.9%
Ford (F)	NM	~6.8x	~18x (b)	~4%
Toyota (TM)	10.6x	17.7x	9.0x	~4%
Stellantis	NM	~6.5x	~3.5x	~9%
S&P 500	22x	21.5x	15.0x	3 to 4%

(a) Auto EV only, excl. GM Financial debt. (b) Ford trailing distorted by EV losses. GM curr P/E adjusted; GAAP trailing is 22x due to one-time 2025 charges.

FINANCIAL SNAPSHOT ($M)

Metric	2024A	2025A	2026E	2027E
Revenue	187,442	185,019	~189K	~193K
EBIT-Adjusted	14,934	12,747	~14,000	~15,500
EBIT-Adj. Margin	8.0%	6.9%	~8.4%	~9.0%
Adj. EPS	$10.60	$10.60	$12.50	$13.50
Adj. Auto FCF	14,045	10,595	~10,000	~11,500
Diluted Shares	1,129M	904M	~830M	~825M

2025 GAAP net income of $2.7B reflects $7.6B in one-time charges. FCF was $10.6B. GM Financial's $114B in debt is matched-book lending, analyzed separately.

PRICE TARGETS AND SCENARIOS

Scenario	2026E EPS	Curr P/E	Target P/E	Price	Upside
BULL	$13.50	6.1x	9.0x	**$121**	**+59%**
BASE	$12.50	6.1x	8.0x	**$100**	**+32%**
BEAR	$10.50	6.1x	6.5x	**$68**	**-10%**

8.0x on $12.50 adj. EPS = $100, a 20% discount to GM's 10-year average. Curr P/E of 6.1x is the starting multiple at $76. FCF sanity check: 12% yield on $11.75 per share implies $97.92.

RETURN DECOMPOSITION -- $76 TO $100

Driver	Math	Contribution	%
(a) Multiple expansion	7.1x trailing to 8.0x on $12.50E	+$11.25	~47%
(b) EPS growth	$10.60 to $12.50 (+17.9%), at 7.1x	+$13.51	~53%
(c) Share count	904M to ~830M (in EPS bridge)	—	—
Total	**$76 to $100**	**+$24**	**+32%**

53% of the return reflects EPS growth already in management's own raised guidance of $11.50 to $13.50 (April 28, 2026). The trade does not need sentiment to change. It needs GM to deliver numbers it has already published.

CATALYSTS

Q1 2026 guidance raised: EBIT to $13.5 to $15.5B and EPS to $11.50 to $13.50. First catalyst already delivered.

H2 2026 truck refresh: Silverado and Sierra mid-cycle update. New generations carry higher base prices.

Software disclosure: Standalone segment reporting forces analysts to apply software level multiples.

Share count compression: Roughly 9% of float retired in 2026. No external event required.

KEY RISKS

Tariffs: $3 to $5B gross 2026 exposure. 43% of profitable trucks are assembled in Mexico.

Truck competition: Ram Hemi V8 revival and a retooling gap give Ram a window in 2026.

Recall and warranty: T1XX platform scale works both ways. The 2025 L87 warranty charge was $1.1B.

Macro: Auto loan delinquencies at 1.47%, above the 2009 peak. SAAR is softening.

EV relevance: GM pulled back hard. Risk of falling behind BYD and Chinese OEMs post 2028.

Bear case: Tariffs stay elevated, Ram takes share during the retooling window, and a recession hits before the software re-rating arrives. Path to Wells Fargo's $48. Requires multiple things going wrong at once.

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